

analysts may not give an entirely true picture of how economies work in the real world.



DANIEL KAHNEMAN (1934–)

A psychologist rather than an economist, Daniel Kahneman was joint winner of the Nobel Prize in Economic Sciences in 2002 for his work on decision-making. He was born in Tel Aviv, but grew up in Paris. In 1948, in the new State of Israel, he studied psychology, and went on to work in universities in Israel and the US with his long-time colleague Amos Tversky.



Given a choice of three similar items at different prices, we tend to choose the middle-priced one, not the cheapest.

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